



DRAFT VISUAL • SOURCE STATUS RETAINED • NOT AN EXECUTED ORIGINAL

Advisory carry and workforce instrument boundaries

SH-LEGAL-READ-CARRY-001 · Reviewed September 12, 2026

LOCKED DIRECTION; counsel implementation outstanding

Instrument

Contractual phantom carry; 10,000 notional units, not shares. Pool is 20% of Excess Advisory Economic Profit after losses, reserves and the greater of 10% allocated operating capital or enterprise-approved capital charge.

Eligibility

Qualifying former J2 service permits consideration, not a grant. Serving J2 personnel cannot receive individualized grant discussions, previews or promises; HQ service alone creates no eligibility.

Vesting and distributions

Default five years, 20% each completed year without cliff. Annual distributions require Finance-certified/audited results, reserves, dispute accruals and approval. Two-year rolling holdback may apply.

No governance rights

Units create no Board vote, veto, management role, J2 access or ownership of IP. Unallocated units accrue to no person. Individual grants, tax treatment and counsel instrument are separate.

General compensation

P&C direction supports fair cash compensation, profit participation and conservatively structured employee ownership. It does not establish a completed ESOP, grant roster or executed employment contracts.

Accounting and record trace

Use approved plan definition only for scoped hypothetical calculations; never book a named award or tax treatment without an accepted individual instrument and financial source.

SH-ADV-005 · SH-PNC-001 · advisory · SHI

Missing evidence and limits

No grants are created. Counsel must resolve legal/tax/withholding/deferred-compensation implementation; no new ESOP financing or employee ownership percentages.

Controlling source paths

docs/advisory/CARRY_PLAN_STANDARD.md

docs/governance/PEOPLE_AND_CULTURE_DOCTRINE.md